Paras Defence and Space Technologies Ltd

Concall Tracker · Q2-2027 update · Prepared 6 Nov 2026 · Ticker: PARAS · Builds on the Q1-2027 report · NO-CONCALL PATH

> **No concall transcripts were available on Screener. This report is based on a global web deep-dive** of the Q2 FY27 results (announced 29 Oct 2026), exchange-filing news and order announcements, plus Screener's financial tables. Paras doesn't hold regular earnings calls, so there's no management commentary to quote this quarter.

1. Snapshot

What the business does: Paras makes military-grade optics and optronics (lenses plus electronic vision systems like thermal sights and periscopes), defence electronics, heavy precision parts such as rocket body tubes, electromagnetic-pulse (EMP) shielding, and drones and anti-drone systems. Its main buyers are ISRO, DRDO (the defence research labs), BEL, the armed forces and the Ministry of Defence.

Number	Value	What it means
Market value	~₹10,000-10,700 cr	What the market values the whole company at; it moved up a little after the results.
Price-to-earnings (P/E)	~103x	You pay about ₹103 for each ₹1 of yearly profit. Very expensive. The price assumes years of fast growth.
Q2 FY27 revenue (consolidated)	₹151 cr	Sales for Jul-Sep 2026, up about 43% from ₹106 cr a year ago. A record quarter.
Q2 FY27 net profit	~₹30 cr	Up about 47% from ₹21 cr. Profit grew faster than sales again.
EBITDA margin	~29.5%	Operating profit before interest, tax and wear-and-tear: about ₹29 per ₹100 of sales, up from ~28% a year ago and ~25% last quarter.
H1 FY27 revenue	~₹279 cr	The first six months together, up roughly 40% on last year.
Promoter holding	53.2%	Founders' stake unchanged for five quarters now. The selling has stopped.

2. Coverage

NO-CONCALL PATH. Sources this quarter: Upstox (Q2 FY27 results, 29 Oct 2026), Investywise and Arthneeti (board outcome and segment figures), Sahi (consolidated profit), order-announcement search covering Jul-Oct 2026, and Screener tables. History from FY21 to Q1 FY27 is carried forward from the Q4-2026 and Q1-2027 reports.

Latest update highlights - Q2 FY27 (results announced 29 Oct 2026)

- **Record quarter.** Revenue ₹151 cr (+43% on last year), EBITDA ~₹45 cr (+50%), profit ~₹30 cr (+47%). The tenth straight quarter of double-digit year-on-year growth.
- **Optics nearly doubled.** Optics & optronics revenue rose about 94% to ~₹75 cr. Defence engineering grew about 14% to ~₹76 cr. Optics is now half the business.
- **Margin bounced back.** Last quarter the optics margin got squeezed by costlier imported material. This quarter the overall margin climbed to about 29.5%, the best in a year. Reports still mention raw-material cost pressure, so it isn't fully gone.
- **No new order book number** and no large new orders found for Jul-Oct 2026. The last confirmed order book is ~₹986 cr at end FY26. The ₹53 cr BEL electro-optics order from June is the latest sizeable win found.
- **Other:** the board approved an employee stock option plan. Promoter stake held at 53.2%; foreign investors trimmed a little (8.3% to 7.5%).

Business mix & capacity. Revenue now splits about half optics, half defence engineering (Q2 FY27). Domestic vs export split not disclosed; customers are overwhelmingly Indian government bodies. Capacity utilisation not disclosed. The large optics park in Navi Mumbai is still being built, so capacity is being added ahead of demand.

★ Since our last report

Builds on the Q1-2027 report (Q1 FY27 results, 7 Aug 2026). Prior verdicts: trigger YES, consistency YES.

Prior read	What we said then	What's new	Movement
Trigger: YES	Order book keeps turning into sales.	Revenue +43%, record quarter; H1 up ~40%.	Confirmed
Consistency: YES	Running in line with 30-40% FY27 growth talk.	H1 growth sits inside that range.	On-track
Optics margin squeeze	Optics margin dropped on imported material costs.	Overall margin back up to ~29.5% with optics revenue nearly doubling.	Improving
Margin vs ~27% target	Q1 ~25%, a touch short.	Q2 ~29.5%; H1 about 27-28%.	Improving
Fresh order book number	None in Q1 coverage.	Still none.	No news
Promoter selling	Paused at 53.2%.	Still 53.2%.	Confirmed

Verdict change: both unchanged at YES. Q2 answered last quarter's margin worry. The open question is the order book, since growth this fast eats through a ~₹1,000 cr backlog quickly unless new orders keep coming.

★ 3. Earning-trigger thesis

Same driver as before: India buying more of its defence and space kit at home, and Paras being the only Indian maker of infrared optics at scale and ISRO's main optics supplier. The order book keeps turning into sales, and this quarter optics did the heavy lifting. The catch is visibility. With no calls and no order-book update, we can see sales but not what's coming. At a P/E above 100, any slowdown in orders would hurt the stock badly.

Trigger	What the record says	Evidence so far	Horizon	Strength	Change since last report
Order book → revenue	~₹986 cr at FY26; pipeline ₹2,000-3,000 cr; target ₹2,500 cr by FY28.	Q2 revenue +43%, H1 ~+40%.	Now - 3 yrs	Strong	unchanged; no fresh order number
Optics moat + optics park	Only Indian large-scale infrared optics maker.	Optics revenue +94% in Q2; margin recovered.	2-5 yrs	Strong	↑ volume and margin both up
Anti-drone	Aims to lead India by FY27.	No big new order found since late 2025.	1-3 yrs	Moderate	unchanged
New subsidiaries / tie-ups	Semiconductors, avionics; Northstar deal.	No news.	3+ yrs	Unproven	unchanged

4. Management-consistency scorecard

Judged from results, filings and news (there are no calls to check against).

Period	What was said	What happened	Verdict
FY25	Strong double-digit growth.	Revenue +44%.	Delivered
FY26	~30% growth, ~27% margin.	Revenue +31%, margin 25%.	Delivered (margin partly)
FY27 (H1)	30-40% growth talk.	H1 ~+40%.	On-track
FY27 (H1)	~27% margin.	Q2 ~29.5%, H1 about 27-28%.	On-track
Optics park	India's first optical systems park.	Still being built.	Too-early
Anti-drone by FY27	Market leader.	Small so far.	Too-early

Narrative drift: none. Same story of order book, home manufacturing and optics, and the numbers line up with what's been signalled. The weak spot is disclosure. No calls, and no order-book update for two quarters, means investors are left reading results without the forward picture.

5. Bottom line

Durable earning trigger? → YES vs last quarter: unchanged

Q2 made the case stronger. Record revenue, optics nearly doubling and the margin recovering all point the same way. What would move this down is the order book: we haven't seen a fresh number since March, and no big new orders turned up in the search. Watch that more than the quarterly sales.

Management consistent? → YES vs last quarter: unchanged

Growth and margin are both running at or above what they signalled for FY27, and promoters have stopped selling. The only knock is silence: no calls and no order-book update. That's a disclosure issue, not a broken promise, so YES holds.

NO-CONCALL web deep-dive, information published up to 6 Nov 2026. Sources: Upstox (29 Oct 2026), Investywise, Arthneeti and Sahi Q2 FY27 coverage; order-announcement news search (Jul-Oct 2026); Screener.in tables; Q1-2027 and Q4-2026 concall-tracker reports. Figures from secondary coverage differ slightly by source. Not investment advice. Do your own due diligence.